

Chapter 5

Live Better While Spending Less

“80% of the results come from 20% of the causes. A few things are important; most are not.” –Richard Koch

The Pareto Principle, or 80/20 rule, states that when analyzing any problem, 20 percent of actions will account for 80 percent of the outcome. The other 80 percent of actions will account for only 20 percent of results. If you want to Choose FI, a high savings rate is the ultimate force multiplier. You can apply the Pareto Principle to decrease your spending and thus increase your savings rate. There are a few factors that outweigh all the others combined. It's not rocket science. Start by tracking where your money goes, then focus on spending less on the things under your control that will have the most impact.

The three largest areas of spending we can all control to build a high savings rate are housing, transportation, and food. Here's how you can optimize spending to enable a more rewarding lifestyle faster than you could have previously imagined.